

“For higher productivity, we also need better labour regulations”

Rakesh Mohan, Part Time Member of EAC-PM and former Deputy Governor, RBI, says India needs to be more export oriented, produce at a much higher scale, and focus on quality

BY SURABHI

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RAKESH MOHAN, PART-Time Member of EAC-PM and former Deputy Governor, Reserve Bank of India, was closely associated with 1991 economic reforms as Economic Adviser in the Ministry of Industry. In an interview to *BT*, he talks about the reforms to boost manufacturing and what needs to be done now. Edited Excerpts:

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Why has India's share of manufacturing in GDP not increased?

It is a puzzle why the share of manufacturing in India's GDP has not increased in the last 35 years. In fact, the growth rate of manufacturing has remained broadly constant at 6-6.5%, the same as the average GDP growth rate, over the last 35 years, although it was higher for some time in the 2000s.

The period prior to 1991 was characterised by the

licence-control raj when almost all industries had to obtain a licence and many sectors were reserved for the public sector. Moreover, there was a high degree of protection with import controls and high tariffs. The real thrust of the 1991 reforms was on industrialisation, and a huge amount of industrial deregulation was done. One of the assumptions was that once these controls were lifted, production would rise in labour intensive sectors, given that Indian labour is much cheaper. With import liberalisation, increased domestic competition, and freer FDI, industry would also have a greater incentive to increase productivity. Industry was also expected to have more incentive to invest in research and development (R&D) and innovation.

Development experience and history demonstrate that, in this period of development, the share of manufacturing should have grown faster. But this has not been the case. There has been no significant movement in labour intensive industry and private sector R&D.

Till FY11, most labour-intensive industries were reserved for small scale enterprises. We had biased ourselves against labour intensive industries such as leather, textiles, footwear, furniture, all of which were reserved for small scale industry. So, we never got large industries in these sectors that would have enabled us to compete globally. Our competitors like China, Vietnam and Bangladesh have much larger units and hence export much more than us in these sectors. We also have much higher tariffs compared to other countries.

A crucial reason perhaps for our problems is also the fact that our exchange rate is heavily overvalued.

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What are the policy measures needed to grow manufacturing?

We need to be more export oriented and produce much better quality at a much higher scale. All this requires better technology for which the private sector needs to invest more in R&D, which in turn will increase productivity.

For higher productivity, we also need better labour regulations. Most Indian factories employ contract labour. As a result, they have no incentive to train workers; neither are they interested in R&D and newer technology.

There is a huge difference in average wages in Indian factories compared to China and Vietnam. Our policies also need to re-look at skill development and vocational training. Much more needs to be done here by both the private sector and the government.

Historically, we have restricted industries in and around cities. My recent paper, 'Indian Urbanisation is Slowing Down', shows that the share of manufacturing in